

GARRISON RISK REVIEW · INDEPENDENT UNDERWRITING

INDEPENDENT BUYER RISK MEMORANDUM

VA-Financed Residential Property — Buyer Risk Review

OVERALL RECOMMENDATION
PROCEED — this property cash-flows as modeled.

MONTHLY CASH FLOW	CASH-ON-CASH RETURN	CAP RATE	TOTAL MONTHLY PITI
\$65	1.8%	5.8%	\$2,108

Item	Detail
Property Address	123 Sample Ct, Fayetteville, NC 28303
County / Tax District	Cumberland County, NC
Property Type	Single-Family Residence, 3bd/2ba, 1,540 sqft, built 2006
Prepared For (Buyer)	Sample Buyer
Prepared By	Independent Risk Review Agent
Date of Memo	September 4, 2026
Underwriting Source	Garrison Risk Review automated underwriting pipeline (GRR-SAMPLE01) — filled workbook attached
Purchase Price	\$285,000
Loan Amount (funding fee rolled in)	\$285,000
Interest Rate	6.25%
Current Occupancy Status	Currently owner-occupied (buyer's primary residence)
Projected PCS / Move-Out Date	Estimated PCS / move-out: June 2027

1 Purpose & Scope

This memorandum is a complied assessment of the underwriting at 123 Sample Ct, Fayetteville, NC 28303. It is written for Sample Buyer's benefit and does not replace a licensed appraisal, CPA tax opinion, or attorney review. It focuses on what changes financially once this property converts from primary residence to a rental after a future PCS.

2 Tax Spike Risk

Item	Detail
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Annual property tax (owner-occupied and rental — same rate) \$2,650

This state's tax mechanism doesn't create an owner-vs-rental gap for a typical buyer — \$0 increase on conversion to a rental.

Tax Note (informational — not tax or legal advice)

North Carolina applies one tax rate regardless of owner-occupancy status — there is no separate rental/investor assessment ratio the way South Carolina or Texas have.

Source: Cumberland County Tax Administrator

3 Rent Coverage vs. Adjusted Post-PCS Cost

Rent (after vacancy)



Total cost + reserves



Item	Detail
Principal & Interest	\$1,755
Property Tax (rental rate)	\$221
Insurance	\$132
HOA	\$0
Total PITI (rental tax rate)	\$2,108
Vacancy allowance (8% of rent)	\$212
Maintenance/management reserve (10% of rent)	\$265

Rent used in the underwriting: \$2,650/mo — high confidence (area market research). Rent after vacancy allowance: \$2,438/mo. Money left over per month: **\$65**. Money left over per year: \$780. Cash-on-cash return: 1.80%. Cap rate: 5.80%.

Comparable Rentals Used

Comparable	Rent	Bed/Bath
410 Deep Creek Rd, Fayetteville, NC	\$2,625	3bd/2ba
88 Ramsey St, Fayetteville, NC	\$2,695	3bd/2ba
1204 Bragg Blvd, Fayetteville, NC	\$2,650	3bd/1.5ba

Rent Sufficiency — Detailed Rationale

PROCEED — this property cash-flows as modeled.

4 Local Market Trends

Fayetteville's rental market has stayed steady near Fort Bragg-Liberty, with demand closely tracking the installation's PCS cycle.

- Median rents up roughly 3% year-over-year (Apartments.com Market Trends)

5 Positive Factors

Balancing the risk items above:

- Property is in good condition per buyer's description, requiring no immediate capital improvements before renting.
- North Carolina's flat tax structure means no post-PCS tax spike risk, unlike states with a homestead exemption gap.
- This would be Sample Buyer's first VA loan use, so full entitlement (\$138,750 for this loan limit) is available and \$0 down is achievable — the deal's rental economics don't constrain future VA-loan stacking.

6 Summary Risk Rating

Item	Detail
Tax Spike Risk	NONE — no owner-vs-rental gap under this state's mechanism
Rent Coverage Risk	LOW — confirmed positive cash flow under these numbers
Market Trend Risk	MEDIUM
Overall Recommendation	PROCEED — this property cash-flows as modeled.

Reference GRR-SAMPLE01. This memorandum reflects an independent review as of the date above and is intended to supplement, not replace, Sample Buyer's own due diligence, a licensed appraisal, and consultation with a CPA and attorney regarding tax and legal matters specific to this transaction. Garrison Risk Review is not affiliated with, endorsed by, or acting on behalf of the Department of Veterans Affairs.